

ENTERING THE ARENA

Sources suggest that the valuation of EbixCash could be multiples of its Ebitda

Companies	Revenues* (₹ crore)	Market cap# (₹ crore)	Revenue multiple(x)
Paytm	8,400	55,221	6.57
Policybazaar	2,816	29,759	10.57
Infibeam	2,033	4,239	2.09

*CONSOLIDATED FIGURES FOR FY23; #AS OF JUNE 19, 2023; SOURCE BSE

• **53 PER CENT**

SHARE OF EBIX-CASH'S REVENUES FROM THE FINTECH SEGMENT, WHICH OPERATES AS A PLATFORM-AS-A-SERVICE

• **19 PER CENT**

SHARE OF REVENUES THAT EBIXCASH GENERATES FROM THE TRAVEL SEGMENT

FIGURES AS OF MARCH 31, 2023; SOURCE COMPANY

cent stake in the company. The Indian entity or step-down subsidiary is expanding the equity or making fresh issuance, which will result in a likely dilution of Ebix Singapore's equity in the range of 18-22 per cent. In other fintech IPOs, private equity and venture capital firms sold their stakes, which meant money from the IPO went to selling shareholders and did not come into the newly-listed companies. Then, the Ebix promoter entity will still hold a majority chunk (almost 80 per cent) post-IPO, which is not the case with many founders in fintech start-ups.

G **OING FORWARD**, Raina wants to continue with his acquisition strategy to fill the business gaps as evident in the DRHP document. The company plans to use some of the IPO money to fund strategic acquisitions. Raina has always believed in buying local firms in order to get regulatory licences, gain their contacts, and network with regulators and consumers. The acquisition target areas could be to gain expertise in SaaS and cloud-based technologies in insurance, finance, healthcare, e-learning, etc. The company is also looking into acquisitions that enhance its offerings in the areas of blockchain and international remittances.

Apart from funding acquisitions, it needs working capital for its foreign exchange and travel businesses. For instance, it has forex counters at Dubai Airport, the busiest airport in terms of the number of foreign travellers in the world. Running this requires working capital. The company already has forex operations in more than two dozen airports, including Delhi, Mumbai, Hyderabad, Chennai and Kolkata. Similarly, the travel business, especially aviation ticketing, also needs working capital, which will help in earning additional incentives from the airline companies.

Given the current state of the stock market, the timing of the offering seems opportune. Interest rates have almost peaked, and inflation has also moderated. The BSE Sensex has already jumped 10 per cent in the past two months. The recent IPOs of Mankind Pharma, Avalon Technologies, Global Surfaces, Divgi, and Sah Polymers have given handsome returns. Like Raina says, he would like to leave something on the table for investors; there is a carrot dangling for the investor community if they believe his words. If the IPO goes well, it could bolster the finances of Ebix Inc. And Raina will have the best of both worlds. **BT**

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